

Tax Audit Applicability – Executive Summary

CONSTITUTION	NATURE OF ACTIVITY
Individual	Business

Legal basis: Income-tax Act, 1961 as amended to the Finance Act 2025; thresholds cross-checked on 18 September 2026. CA sign-off pending.

TAX AUDIT APPLICABILITY

APPLICABLE

On the information entered, tax audit under section 44AB of the Income-tax Act, 1961 is applicable to the individual for FY 2025-26 (AY 2026-27).

TURNOVER	CASH RECEIPTS %	CASH PAYMENTS %	PROFIT %
₹90,00,000	1.11%	1.05%	2.22%
APPLICABLE LIMIT	APPLICABLE FORM	TAX AUDIT REPORT DUE	RETURN OF INCOME DUE
₹1 crore / ₹10 crore	Form 3CB + Form 3CD	30 September 2026	31 October 2026

KEY STATUTORY TESTS

TEST	INPUT	THRESHOLD	STATUS	PROVISION
Cash receipt condition	1.11%	Not exceeding 5% of all amounts received	CONDITION MET	Proviso (a) to s. 44AB(a)
Cash payment condition	1.05%	Not exceeding 5% of all payments made	CONDITION MET	Proviso (b) to s. 44AB(a)
Turnover limb	₹90,00,000	₹1 crore / ₹10 crore	NO AUDIT	s. 44AB(a)
s. 44AD eligibility	Eligible	Eligible assessee and business	CONDITION MET	s. 44AD, Explanation
s. 44AD turnover ceiling	₹90,00,000	₹2 crore / ₹3 crore	CONDITION MET	s. 44AD, Explanation (b)
Low-profit limb (opting out)	₹2,00,000	Deemed ₹5,40,000 to ₹7,20,000	TRIGGERS AUDIT	s. 44AB(e) with s. 44AD(4)

REASON

1. s. 44AB(e) with s. 44AD(4) — Income was declared under s. 44AD in an earlier year. Declaring ₹2,00,000 now, below even the lowest possible deemed income, ₹5,40,000 (6% of turnover), attracts s. 44AD(4). Total income exceeds the basic exemption.

IMPORTANT

This conclusion is drawn on the figures and answers entered. It is subject to the accuracy of those figures and to any fact not captured here. Section 44AA (books of account) is a separate obligation and is not evaluated. Decision-support output only: not a substitute for independent examination of the Act, Finance Act amendments, CBDT notifications and circulars, judicial precedents, ICAI Guidance Notes and the facts of the assessee. The complete reasoning, the statutory references and the sign-off block are in the detailed working paper.